

Expense and Approval Policy

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1. Purpose

This policy sets out who may approve expenditure, up to what value, and what employees must do to claim back money they have spent on the company's behalf.

2. Approval thresholds

Every item of expenditure must be approved before it is committed. The approval required depends on the total value of the commitment, excluding VAT.

Value of commitment, excluding VAT | Approval required

Up to SAR 5,000 | Line manager

SAR 5,001 to SAR 25,000 | Department head

SAR 25,001 to SAR 100,000 | Finance Manager and CEO, jointly

Above SAR 100,000 | Board approval, recorded in the minutes

Approval must be obtained from someone senior to the person incurring the cost. No employee may approve their own expenditure, regardless of value, and no employee may approve expenditure from which they or a family member would benefit.

3. Splitting is prohibited

A commitment may not be divided into smaller parts to bring it below a threshold. Where a series of related purchases is expected to exceed a threshold over a 12-month period, approval must be sought at the level appropriate to the expected total. Finance reviews recurring spend quarterly and will escalate apparent splitting to the department head.

4. Exceptions and emergency spend

Where expenditure is genuinely urgent and prior approval cannot be obtained, the employee may commit up to SAR 10,000 and must submit a retrospective approval request within two working days, explaining why prior approval was not possible. Retrospective approval is not automatic. Repeated use of this route by the same employee is reported to the department head. There is no other route by which the approval requirements in section 2 may be set aside. Requests to waive them should be directed to the Finance Manager, who will consider whether the policy itself needs amending.

5. Expense claims

Claims are submitted through the finance portal within 30 calendar days of the expense being incurred. Claims submitted later than 60 days are not paid except with the Finance Manager's written agreement. An itemised receipt is required for every claim of SAR 75 or more; card statements are not accepted as receipts. Claims are reviewed by the line manager and paid with the next payroll run, provided they are approved at least five working days before the

payroll cut-off. Claims in a foreign currency are converted at the rate on the receipt date, evidenced by the card statement.

6. What may be claimed

Category	Allowed	Notes
Client entertainment	Yes	Department head approval in advance, attendees recorded
Staff entertainment	Limited	Up to SAR 200 per person per event, max 4 events/year/team
Home office equipment	Yes	Up to SAR 2,500 per employee per two years, remains company property
Professional subscriptions	Yes	One professional body membership per employee per year
Fines and penalties	No	Including parking and traffic fines on company business
Personal travel extensions	No	Extra cost of extending a trip for personal reasons is the employee's own

7. Related documents

Related documents: FIN-POL-007 Travel and Accommodation Policy, PROC-PRO-002 Vendor Onboarding and Procurement Procedure.